INVESTMENT NOTE

EZULWINI

EZULWINI AFRICA (PTY) LTD

A R20m raise to anchor a network of farmer-owned farms

13 November 2026 · Confidential

Ezulwini builds controlled-environment farms and runs them with local teams on one operating system, so each farm is commercially stable and investable from day one.

Private and confidential. A private placement to qualified investors under section 96(1)(b) of the Companies Act 71 of 2008. Terms are indicative and subject to the final note agreement. Figures from Ezulwini Investor Financials v1.1 (12 November 2026) and Xero, as marked.

01 Summary and the raise

Ezulwini is raising **R20m**, blended debt and equity, to refit Hekpoort, finish its operating system and clear its bank debt. Dullstroom, a one-tunnel pilot, has traded for four years and made a farm-level profit of R337k in FY26. Hekpoort, a 50 ha farm Ezulwini already owns, becomes the anchor: at 70% of modelled output it earns R4.3m EBITDA per annum, enough to carry head office before any new farm is built. From there, each new four-tunnel farm earns head office a R1.2m setup margin once and a 6.5% service fee annually.

AMOUNT	**R20m** in three closes: R8.75m by 30 November 2026, R5.25m by 31 March 2027 and R6.0m by 30 June 2027
INSTRUMENT	Convertible note in Ezulwini Africa (Pty) Ltd, 13% per annum fixed, paid in cash
TERM	4 years, with a company option to extend by 2
EQUITY	Investors may convert up to half their principal at a R50m post-money cap. If half the round converts, partners hold about 20%
COUPONS	Each close holds its own first year of coupons in reserve
LEAD INVESTOR	Welcome to take a large part of the round and shape the final terms

02 What, proof, opportunity

What	A network of controlled-environment farms on one operating system: training, a farm app and data, back office and market access, with a route into ownership for first-generation farmers.
Proof	Dullstroom, a 1,000 sqm pilot, produces every week. FY26 revenue R1.44m and farm-level profit R337k (Xero, trusted), run by a local team of six trained on site.
Opportunity	Black farmers hold an estimated 5 to 10% of commercial production. New entrants fail on capital, buyers, systems and seasonal income at once. A farm that solves all four from day one is investable, and can be repeated.



Steven Phoku, farm manager, Dullstroom.

Four barriers between a new farmer and a commercial farm

1. **Capital is out of reach.** Lenders want collateral and a credit history new farmers do not have yet.
2. **No reliable route to market.** Small volumes mean weak prices and no way in to premium buyers.
3. **No systems to run on.** Without data or management tools, small farms run on guesswork.
4. **Income comes in seasons.** Open-field harvests arrive in cycles, so cash swings through the year.

03 How Ezulwini works

Ezulwini first designs, builds and commissions each farm to one standard. Every farm then runs on the same operating system, held in one app and backed by trainers, farm visits and specialists from the Hekpoort hub.

Training

Three to six months hands-on at the hub farm, then refreshers.

System and data

Daily tasks, growth tracking and a live body of knowledge.

Back office

Accounts, people, inputs and compliance, run centrally.

Market access

Produce from every farm sold as one supply line.

The growing method is aquaponics in tunnels: fish feed the plants and the plants clean the water. It needs few outside inputs, harvests every week and works on marginal land. Leafy greens carry the returns; fish are left out of Hekpoort's forecast.

Who owns what

FARM	OWNERSHIP	WHAT HEAD OFFICE EARNS
Dullstroom	100%, a reporting unit inside Ezulwini Africa	All its earnings
Hekpoort	100%, a division for now	All its earnings

Network farms	Co-owned: Ezulwini 26 to 40%, the farmer working towards 60%. Funded at farm level, through Ezulwini or direct from DFIs such as SEDFA and Land Bank	R1.2m setup margin once, 6.5% service fee annually, equity distributions (not in the forecast)
Partner farms	Funded by others, no Ezulwini equity	Service fee (not in the forecast)

04 The repeatable unit

Dullstroom is one tunnel and proves the system. The unit Ezulwini repeats is four of those tunnels with one packhouse, one management team and one build. Figures are farm level, per annum, after the 6.5% fee to head office for the network farm and Hekpoort.

UNIT	SIZE	REVENUE	EBITDA	MARGIN
Dullstroom pilot	1 tunnel, 420 rafts	R1.44m	R272k	19%
Network farm	4 tunnels, 1,680 rafts	R7.65m	R2.46m	32%
Hekpoort at 70%	About 2,100 rafts plus grow media	R10.46m	R4.31m	41%
Hekpoort, full output		R14.95m	R7.61m	51%

Dullstroom revenue is the FY26 actual; its EBITDA is the model figure, which charges costs a stand-alone farm would carry (Xero shows R337k farm-level profit). A network farm costs about R15m to build, a full build with contingency; we expect to build under it. Its R1.2m setup margin pays head office to design the farm, oversee the build, train the team, implement the full management system and lead the operator through initial demand planning.

05 Hekpoort, the anchor

Hekpoort is the former Integrated Aquaculture farm, 50 ha in Gauteng, bought with tunnels, hatchery, packhouse and a water licence. The refit simplifies the system, adds solar and replaces liners: R4.5m in phase 1 and R2.2m in phase 2.

The plan allows four months of setup from first close, then three months of ramp-up at half output, with full production from month 8. Hekpoort and head office together turn cash positive in **July 2027**, before any new farm is built.

We lead with 70% of modelled output on purpose. The base case already cuts output by 10% in the first full year, takes grow media at 60% of modelled yield and leaves fish out of revenue.



Training in the tunnel. Hekpoort becomes the training hub for every new farmer.

06 Forecast to February 2031

Group means Dullstroom, Hekpoort and head office together. Financial years end in February; the year to February 2027 is the three months after first close.

YEAR TO FEBRUARY	2027	2028	2029	2030	2031
Network farms trading	0	1	3	5	9
Group revenue	R0.41m	R15.22m	R19.83m	R24.14m	R28.53m
Group EBITDA	**-R1.01m**	**R4.40m**	**R6.02m**	**R9.04m**	**R12.47m**
Coupons for the year	R0.28m	R2.29m	R2.61m	R2.60m	R2.32m
Coupon cover, base case	Reserve	1.9x	2.3x	3.5x	5.4x
Cover, Hekpoort at 70%	Reserve	1.1x	1.2x	2.1x	3.8x
Cover, no new farms built	Reserve	0.9x	1.4x	1.6x	2.3x
Cash built up, cumulative	**-**	**R3.55m**	**R6.36m**	**R11.06m**	**R18.46m**

Each close holds its first year of coupons in reserve, so operations pay only R0.28m of coupons to February 2028. Setup margins on new builds are more than half of group EBITDA from February 2028, so cover depends on farms being built; the "no new farms" row shows the business without them. If Hekpoort runs at 70% and no farms are built, EBITDA does not cover the coupon.

Key assumptions

1. New farm builds: 2 in each of the years to February 2028 and 2029, 4 in 2030 and 6 in 2031, earning setup margins of R2.4m, R2.4m, R4.8m and R7.2m. The planned pace rises to 10 builds per annum and 51 network farms by February 2036.
2. Head office built role by role to 10 people by February 2031. Accounts, growth, people and tech come through N+1's Venture Engine at R65,000 per month.
3. Tax estimated at 27%, before depreciation. Mid and full close dates are planning assumptions.
4. Today (Xero, trusted): FY27 revenue to October was R0.88m over eight months and cash on 10 November 2026 was R0.89m. The whole company ran at a loss in FY26 and FY27 to date; the raise funds the step from one small farm to a commercial unit and a staffed head office.

07 Use of funds and what each close achieves

CLOSE	NEW MONEY	PAYS FOR	ACHIEVES
First **30 Nov 2026**	R8.75m	Hekpoort refit phase 1 R4.50m, runway to breakeven R2.06m, year-one coupons R1.11m, existing investors R0.57m, GAP processing, costs	Hekpoort becomes a fully tested, cash-positive unit, and head office has a tested service it can sell and implement
Mid **31 Mar 2027**	R5.25m	Hekpoort refit phase 2 R2.20m, operating system and curriculum R1.25m, Dullstroom sales upgrades and sales team R0.85m, year-one coupons R0.68m, costs	Dullstroom and Hekpoort earn enough to run the whole business cash positive, with a full curriculum ready to build the farmer pipeline
Full **30 Jun 2027**	R6.00m	Absa term loan repaid R5.00m, releasing the director's guarantee; year-one coupons R0.78m; new farm and market development R0.04m; costs	Hekpoort is free of bank debt and anchors the first network farms. Two builds start in the year to February 2028
Total	**R20.00m**		

Below the first close no capital is drawn and the refit does not start. A board resolution and an investor deployment statement go out at each close.

08 Your position and repayment

ON A R500,000 NOTE	AMOUNT
Coupon, per annum	R65,000
Coupons over four years	R260,000
Principal repaid	R500,000
Cash back, held as debt	**R760,000**
Converting half at the R50m cap	0.5% of Ezulwini

Minimum ticket R500,000. Coupons stop on any converted portion.

How the R20m is repaid

The base case builds up R18.5m of cash by February 2031 against R20m of principal, due from November 2030 to June 2031. Investors may convert up to R10m. Any gap is met by the two-year extension or by refinancing against Hekpoort, which carries no bank debt once the Absa loan is repaid at full close.

09 Risks and answers

Hekpoort ramps late

WHAT COULD HAPPEN
Setup or ramp-up takes longer than seven months

OUR ANSWER
Year-one coupons sit in reserve; R2.06m runway; Dullstroom keeps trading

Output falls short

WHAT COULD HAPPEN
Hekpoort produces below the model

OUR ANSWER
With farms being built, coupon cover stays above 1x every year at 70% output; fish and equity distributions are left out of the forecast

New farms build slowly	**WHAT COULD HAPPEN** Farm-level funding takes longer to raise	**OUR ANSWER** Without new farms, cover is 0.9x in the year to February 2028, mostly paid from reserve, rising to 2.3x by 2031
Repaying R20m	**WHAT COULD HAPPEN** Cash built up falls short of principal at maturity	**OUR ANSWER** Conversion, the two-year extension and refinancing against unencumbered Hekpoort
Key people	**WHAT COULD HAPPEN** The business depends on a few people	**OUR ANSWER** The raise funds a head office team; systems and training are written down; N+1 runs the back office

10 People

Lliam Roach	CEO, founder and builder. A machining and engineering background; designed and built Dullstroom. LinkedIn
Mitch Marescia	Director and backer. An entrepreneur focused on enterprise development in rural communities. LinkedIn
Matt Beckett	Commercial and strategic direction, finance and structure. Leads N+1, an early investor. LinkedIn
Steven Phoku	Farm manager. Started as a day labourer on the first earthworks; now runs Dullstroom, and is next in line to become a shareholder and train other farmers.
N+1	N+1 Impact Venture Partners is a seed investor that has backed Ezulwini's growth and runway. It has partnered on commercial planning and systems development, and will provide and co-build the back office. np1.co.za

Annex: indicative terms

Indicative only and not an offer of securities. To be reviewed by a South African corporate lawyer and accountant before any term is agreed.

TERM	PROPOSED
Issuer	Ezulwini Africa (Pty) Ltd, 2013/118031/07
Instrument	Convertible note
Coupon	13% per annum, fixed, paid in cash; payment dates set in the note agreement
Term	4 years from each close; company option to extend by 2 years on the same terms
Equity option	Investor may convert up to 50% of principal into Class C ordinary shares before maturity, at a R50m post-money cap
Redemption	Cash at maturity. Converts only if cash redemption would put the company's solvency at risk
Closes	First R8.75m by 30 November 2026 (cancelled if not met by 15 December 2026); mid R5.25m by 31 March 2027; full R6.0m by 30 June 2027
Minimum ticket	R500,000
Information	Quarterly management accounts, annual financial statements, annual investor meeting
Lead investor	Ezulwini is open to a lead investor's term sheet where it suits the business

Further reading

Raise deck
Google Slides, 16 slides

Summary financials
Investor Financials v1.1, Google Sheet

Book a meeting
30 minutes with Lliam and Matt

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by N+1